

1.5 GDP AND GROSS NATIONAL INCOME (GNI)
MARKING SCHEME

1991/CE/II/43 D	1995/CE/II/32 C	2002/CE/II/25 A (29%)	2006/CE/II/29 D (46%)	2010/CE/II/30 A (58%)
1992/CE/II/48 B	1999/CE/II/26 D	2004/CE/II/28 C (53%)	2008/CE/II/27 C (46%)	2011/CE/II/31 A
1993/CE/II/44 B	1999/CE/II/29 B	2006/CE/II/26 A (67%)	2009/CE/II/30 B (70%)	2013/DSE/I/21 A (22%)
2019/DSE/I/25 B	2020/DSE/I/25 A	2022/DSE/I/27 B	2023/DSE/I/26 D	2024/DSE/II/38 A

Note: Figures in brackets indicate the percentages of candidates choosing the correct answers.

1990/CE/I/1(c)

- (i) Yes, because (1)
Filipino maids are resident producing units of Hong Kong. (1)
- (ii) Yes, because (1)
the factor owner is a resident of the Philippines. (1)

2001/CE/I/6

- (a) The answer is 'included' or 'excluded' depending on whether the firm which employ him is a resident producing unit of HK or not. (1)

Explanation of why the firm is or is not a resident producing unit of HK (1)

E.g.1 Excluded:

The foreign airline operates its business in foreign countries.

It is not a resident producing unit of HK.

E.g.2 Included:

A branch of the foreign airline operating in HK employs him.

This branch is a resident producing unit of HK.

- (b) The answer is 'included' or 'excluded' depending on whether the rental income of a resident of HK is earned in HK or not. (1)

Explanation of why the rental income is or is not earned in HK (1)

E.g.1 Included:

The HK company operates its business in HK and the premises are located in HK.

A resident of HK earns that rental income in HK.

E.g.2 Excluded:

The HK company operates its business in HK and the premises are located in a foreign country.

The rental income is earned by a resident of HK but it is an income from abroad.

2002/CE/I/10(d)

- Included in HK's GDP, because (1)
Bank A is a resident producing unit of HK. (1)

- Excluded from HK's GNP, because (1)
Tom is not a resident of HK, and his salary is an income to abroad. (1)

2015/DSE/II/10(a)

- (i) HK's GDP would increase (by \$3 million). (1)
As the course is a current-year production by a resident production unit, its value would be included in GDP. (1)
- (ii) HK's GNP would decrease (by \$5 million), as $\text{change in GNP} = \text{change in GDP} (+\$3 \text{ million}) + \text{change in net income from abroad} (-\$8 \text{ million})$. (1)
As the Brazilian coach is **NOT** a HK resident, the \$8 million he received would be counted as income outflow and enter as a negative item in HK's national income account. (2)